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Playing Nicely: Serving Your Client's Needs and Following the Rules

IN THIS PART . . .

Scrutinize customers' accounts and monitor market conditions that can affect their investments.

Familiarize yourself with the markets where securities trade.

Get an overview of income tax breaks and learn to distinguish long-term from short-term capital gains and losses for income tax purposes.

Review the essential rules for the care and protection of your customers' accounts.

- » Understanding the information needed when opening accounts
- » Knowing your customer
- » Grasping the ins and outs of margin accounts
- » Determining when you can call a potential customer
- » Taking a chapter quiz and checking your answers

Chapter 12

Customer Accounts: Proper Handling of Accounts

If you're going to have a successful business, you have to be able to open accounts. Beyond "smiling and dialing," you need to know what to do when you hook your first whale. Next, you need to get the account form filled out. The account form and conversations with your customers and potential customers help you make appropriate recommendations. Ideally, the securities you recommend will do well, and your customers will rent a van with a huge speaker on top so they can drive through town telling everyone how great you are.

In this chapter, I cover topics related to opening accounts. First, I help you understand the information required on a new account form. Then I go over investment objectives, cover margin accounts, and finally discuss when you can call potential customers. I also include a couple of example questions throughout the chapter and more practice questions at the end to give you an idea of potential questions you may see on the exam.

Following Protocol When Opening Accounts

The SIE examiners seem to be focusing more and more on the handling of customer accounts. You need to know what to do to open accounts, how to take customer orders, the rules for sending out confirmations, and so on.

Filing the facts on the new account form

When you're opening any new account for a customer, you first need to fill out a *new account form* — an internal document used to compile basic information about customers for compliance

purposes. Getting this information is your responsibility (or the responsibility of the broker–dealer).

Here's a list of the items that need to be on the new account form:

- » The name(s) and address(es) of the individual(s) who'll have access to the account as well as a trusted contact person age 18 or older (especially if the person opening the account is 65 or older) (A trusted contact person isn't mandatory but is highly encouraged.)
- » The customer's date of birth (The customer must be of legal age to open an account.)
- » Contact telephone number(s)
- » Marital status and number of dependents (if any)
- » Whether the person opening the account or any immediate family member is employed or associated with the securities industry, and if so, how
- » The type of account the customer is opening (cash, margin, retirement, day trading, prime brokerage, delivery versus payment [DVP]/receive versus payment [RVP], advisory or fee-based, discretionary, options, and so on)
- » The customer's Social Security number (if the customer is an individual) or tax ID number (if the customer is a business)
- » The customer's occupation, employer, address of employer, and type of business (Certain limitations are placed on customers who work for banks, broker–dealers, insurance companies, self-regulatory organizations [SROs], and so on)
- » Domestic or foreign residency and/or citizenship (including ID info per the customer's driver's license, passport, state ID, government ID, and so on)
- » Bank references and the customer's net worth, liquid net worth, tax rate, and annual income
- » Whether the customer is an insider of a company (By insider, I mean a senior officer, director, or individual who owns more than 10 percent of the issuer's voting shares.)
- » Financial investment experience
- » The signature of a principal (manager)

Broker–Dealers may, in accordance with the Patriot Act, also require a customer to provide proof of identification. The Patriot Act was enacted in 2001 to help identify and catch terrorists. As part of the Patriot Act, broker–dealers should

- » Keep records of the information used to identify the customer via customer identification programs (CIPs). Financial institutions use CIPs to verify the identity of customers who want to conduct financial transactions.
- » Verify that a customer doesn't appear on any list of known terrorists or terrorist organizations. (The Office of Financial Assets Control [OFAC], which is a U.S. Treasury Department Agency, keeps this list.)



REMEMBER

If anything changes (such as a customer's address or marital status), the new account form needs to be updated. Additionally, only individuals who are legally competent may open accounts — meaning you have to pay close attention to the investor's age and/or mental or physical ability. The Financial Industry Regulatory Authority (FINRA) has additional rules specifically put in place for older people and/or those with some sort of disability; these rules, regarding “financial exploitation of specified adults,” are covered in Chapter 16.



TIP

In the course of filling out a new account form, be sure to ask whether your client is accredited. (See Chapter 14 for more on the topic of accredited investors.) If a client is, in fact, accredited, they're potentially able to handle more risk than non-accredited retail investors.

The following question tests your knowledge about opening a new account.



EXAMPLE

Which of the following people must sign a new account form?

- I. The customer
- II. The customer's spouse
- III. The registered representative
- IV. A principal
- (A) I and II only
- (B) IV only
- (C) I and IV only
- (D) I, III, and IV only

The correct answer is (B). When you're opening a new account for a customer, the new account form requires only a principal's (manager's) signature. Make sure you don't assume extenuating circumstances. Surprisingly, you need the customer's signature on a new account form only if the customer is opening a margin account. Additionally, you need the spouse's signature only if the account you're opening is a joint one. Because the question doesn't say that the account is a margin or joint account, you can't assume that it is.

Gathering other important customer info



REMEMBER

You should be able to gather the information you need for making recommendations based on the customer's account form and your conversations with the person. It is your duty to know your customer (also conveniently called the "Know-Your-Customer [KYC] Rule") so you can make recommendations that are suitable and are able to handle the account effectively. Your recommendations should be fair and reasonable based on the customer's profile and within the customer's financial ability. Basically, don't recommend buying \$100,000 of (extremely risky) penny stocks to a customer who's risk-averse and has limited funds. In the event that your customer doesn't provide you with enough information to make an appropriate recommendation, you can still take unsolicited orders. Some of the things you should know (or attempt to find out) to make accurate recommendations are

- » The customer's age
- » Other investments they might have
- » Their financial situation and needs (Are they buying a house soon or paying for one or more of their kids to go to college, for example?)
- » Their tax rate (Municipal bonds are more suitable for investors with a high tax rate.)
- » Their investment objectives, such as retirement funding, generating current income, preservation of capital, capital growth, total return (growth and income), tax-advantaged investments, liquidity, speculation, trading profits, and long-term versus short-term risk
- » Their investment experience (How much do you need to explain to them?)
- » Their time horizon (expected time to reach a financial goal, if any)

- » Their risk tolerance (Should you recommend speculative securities or only safer ones?)
- » Their liquidity needs (Should you recommend only securities that they can get in and out of easily?)

Word on the street: Street name accounts

A *street name account* is an account registered in the name of the broker–dealer with an ID number for the benefit of the customer. Most firms put new customer accounts in street name format to make trading easier. Street name accounts give the investor a certain degree of privacy and help facilitate the trading of securities because the brokerage firm, not the customer, signs the certificates.



REMEMBER

Because the securities are still owned by the investor, any gains and losses in the account are going to be the investor's, not the brokerage firm's.

You need to know a few rules about street name accounts for the SIE:

- » You need a written statement from the customer attesting to the ownership of the account.
- » With the exception of margin accounts, which must be in street name, a street name account may be changed by the customer to a regular account at any time.
- » All margin accounts must be in street name.

Selecting the Appropriate Type of Account

Investors can open many types of accounts through a broker–dealer. Besides knowing a customer's investment profile, you also need a basic understanding of the types of accounts for the SIE exam. Fortunately, most of them are pretty straightforward.

Single and joint accounts

Some investors prefer to share; others like to go it alone. Whatever their preference, adults can open accounts that fit their needs:

- » **Single (individual) accounts:** Naturally, this account is in the name of one person. The key thing for you to remember is that individuals may not open accounts in other people's names without written permission (power of attorney).
- » **Joint accounts:** This account is in the name of more than one person. All individuals named on the account have equal trading authority for the account. For SIE exam purposes, you need to be familiar with two types of joint accounts:
 - *Joint tenants in common (JTIC):* With this type of account, when one tenant of the account dies, their portion of the account becomes part of their estate, which is governed by the decedent's will or state law. JTICs are usually set up for two or more unrelated investors. JTIC accounts are often set up for estate-planning purposes.

- *Joint tenants with rights of survivorship (JTROS)*: With this type of joint account, when a joint tenant named on the account dies, their portion of the account passes on to the surviving joint tenant(s). These accounts are usually set up almost exclusively for married couples or otherwise related persons. In states where *community property laws* exist (currently, Arizona, California, Idaho, Louisiana, Nevada, New Mexico, Texas, Washington, and Wisconsin), investments acquired during the marriage are automatically presumed to be jointly owned by both spouses.

The following question tests your knowledge of account types.



EXAMPLE

All the following people may open a joint account EXCEPT

- (A) two friends
- (B) a husband and wife
- (C) a parent and minor son
- (D) three people who work together

The right choice here is (C). A joint account is an account in the name of more than one adult. Choices (A), (B), and (D) are all possible for joint accounts, but an account opened for a minor must be a custodial account, which I discuss in the next section.

Trust accounts

Trust accounts are managed by one party (the trustee) for the benefit of another party. A specific type of trust account that you're most likely to see on the SIE exam is a custodial account. A *custodial account* is set up for a child who's too young to have their own account. A custodian (adult) makes the investment decisions for the account. Any adult can open a custodial account for a minor, so the people named on the account don't have to be related although they're typically parents.



REMEMBER

Custodial accounts for minors are trust accounts and may be referred to on the SIE exam as UGMA or UTMA accounts because they fall under the Uniform Gifts to Minors Act or Uniform Transfer to Minors Act. A *UTMA account* is an extension of the UGMA account that allows gifts in addition to cash and securities to be transferred to the minor. The additional gifts allowed are art, real estate, patents, and royalties.

Additionally, because the minor is too young to make investment decisions for themselves, some rules are specific to custodial accounts:

- » There can only be one custodian and one minor per account.
- » The minor is responsible for the taxes. (The minor's Social Security number is registered for the account.)
- » The account is registered in the name of the custodian for the benefit of the minor. (The custodian is responsible for endorsing all certificates.)
- » The account can't be held in street name (in the name of the broker-dealer with an ID number; see the earlier section "Word on the street: Offering numbered accounts").
- » Because of the additional risk, securities can't be traded on margin or sold short.
- » Anyone may give a gift of cash or securities to the minor. The gift is irrevocable (can't be refused by the custodian).

- » If an account receives rights, the custodian can't let the rights expire. (See Chapter 6 for more info on rights.) Because rights have value, a custodian can exercise or sell the rights.



REMEMBER

UGMA accounts are for minors, so as soon as a minor reaches the age of majority, which is determined by the minor's state of residence, the UGMA account is terminated, and the account is transferred to a single account in the name of the (former) minor.

Discretionary accounts

Decision-making can be stressful, and some investors don't want to deal with it. With a *discretionary account*, an investor can give you (the registered rep) the right to make trading decisions for the account. All discretionary accounts need a *written power of attorney* signed by the investor, which gives trading authorization to the registered rep. Although this may sound wonderful, to keep reps honest, these discretionary accounts are scrutinized more than other accounts.



REMEMBER

If a customer places an order but doesn't specify the security, the number of shares or units, and/or whether the customer wants to buy or sell, you need a written power of attorney. If you don't have a written power of attorney, you can't do anything but decide when to place the order (timing). Suppose that one of your customers calls you and says that they want to sell 100 shares of ABC common stock, and you believe you can get them a better price later in the day. The customer can give you verbal permission to place the order at your discretion. This type of order is called a *market not held order* and is usually good only for the rest of the day.

Here are some specific rules for discretionary orders that you're likely to see on the SIE exam:

- » Each discretionary order must be marked as *discretionary* on the order ticket.
- » As with other orders, principals must sign each order ticket.
- » A principal needs to review discretionary accounts regularly to make sure reps don't trade excessively to generate commissions — a practice referred to as *aschurning*.



REMEMBER

A *fiduciary* is anyone who can legally make decisions for another investor. Examples of fiduciaries are custodians (UGMA accounts), a registered rep having power of attorney, an executor of an estate, a trustee, and so on. Fiduciaries are subject to the *Prudent Man* or *Prudent Investor Rule*, which means that they must invest the principal client's money in securities designated by their state's *legal list*. As you can imagine, legal lists are filled with safer investments. If their state does not have a legal list, fiduciaries should invest in securities that only a prudent person who's seeking reasonable income and preservation of capital would invest in.

Corporate accounts

Only incorporated businesses can open corporate accounts. If you're opening a corporate account, you need to obtain the tax ID number of the corporation, which is similar to an individual's Social Security number. Additionally, you need to obtain a copy of the *corporate resolution*, which lets you know whom you should be taking trading instructions from (so you don't get a call like "Hi, I'm Joe Blow, the janitor for XYZ Corporation, and I'd like to purchase 1,000 shares of ABC for our company").

If a corporation wants to open a margin account (accounts that entail borrowing some money from the broker-dealer to purchase securities; see the "Cash or margin account" section later in the chapter), you also need a copy of the corporate charter (bylaws). The corporate charter has to state that the corporation is allowed to purchase securities on margin.



An *unincorporated association* (sometimes called a *voluntary organization*) is a group of two or more individuals who form an organization for a specific purpose (in this case, investing). If an unincorporated association has too many characteristics of a corporation, such as having a board of directors, limited liability, and so on, it may be treated and taxed at a higher rate, as though it were a corporation.

Institutional accounts

Accounts setup by institutions such as banks, mutual funds, insurance companies, pension funds, hedge funds, and investment advisers are considered institutional accounts. Their role is to act as specialized investors on behalf of others.

Partnership accounts

Two or more individual owners of a business that's not set up as a corporation may set up a partnership account. All partnerships must complete a partnership agreement, which the broker-dealer has to keep on file. The *partnership agreement*, like a corporate resolution, states who has trading authorization for the account so you know whom you're supposed to be taking orders from.



Accounts can be opened for many reasons other than to just buy and sell stocks. They may be opened to trade options (which I cover in Chapter 11), or they may be opened to provide a family member with a means to pay for their education (such as the Section 529 savings plans I discuss in Chapter 8); or maybe they're set up to provide income for retirement. (Chapter 15 has the inside information on retirement income.) In addition, if you're registered as an investment adviser, you may be setting up a fee-based account rather than one in which you make a commission on trades (see the following section). No matter which type of account you open, unless you're otherwise directed by the client, portfolio diversification is key.

Cash or margin account

When one of your clients is opening a *cash account*, it means that they must pay for each trade in full. It doesn't mean that they have to drop off a suitcase full of cash; the trades are typically paid for via check or wire transfer. When a customer opens a cash account, they cannot purchase securities on margin.

INVESTMENT ADVISERS

If you're working for a broker-dealer as an agent, you'll receive commission when one of your clients makes a trade using your expert services. However, there is a different way to make money other than commission (or markups or markdowns, if your employer trades securities from inventory). More and more broker-dealers are requiring their agents to get a Series 66 (for those with a Series 7 license) or 65 license, which allows them to receive a fee for giving investment advice. To do so, you have to pass an exam and be registered as an investment adviser under the Investment Advisers Act of 1940. Advisers must have a written contract that explains to clients how and when fees will be charged. Fees may be charged as a percentage of managed assets for every time the adviser offers services or as wrap fees, whereby a client is charged fees for unlimited trading, advice, and/or custody of funds and securities. People who provide investment advice that is incidental to their business (teachers, accountants, lawyers, and so on) do not have to register as investment advisers.

Working with Margin Accounts

You don't necessarily need to have all of the funds available to buy securities. Thanks to the wonder of *margin accounts*, you can borrow money from a broker-dealer to purchase securities or borrow the securities themselves. Margin accounts allow customers to buy more securities (or sell more securities short) from you (as a registered rep) than they otherwise would, thus leading to more money in your pocket (a greater commission). This is a great thing if the margined securities are going the customer's way because it can increase their potential profit substantially. However, margin accounts are not without an additional degree of risk (which a lot of people found out back in 1929 when the market crashed and many economists blamed the crash on the number of securities purchased on margin). Margin accounts are great if the securities held in the account are going in the right direction but horrible if they aren't.

Disclosures and agreements: Getting margin paperwork out of the way

Because purchasing or selling short on margin involves extra risk, all customers must receive a *risk disclosure document*, which outlines those risks and some of the broker-dealer's rules. Besides receiving the margin risk disclosure document, the customer must sign a *margin agreement* before any securities can be purchased or sold short on margin. The margin agreement is broken down into three main sections:

- » **The credit agreement:** Because the investors are borrowing money from the broker-dealer to purchase the securities, they're going to be charged interest on the money borrowed. The required credit agreement discloses the terms for that borrowing, including the interest rate charged, the broker-dealer's method of computation, and situations under which the interest rate may change.
- » **The hypothecation agreement:** This required agreement states that all the margined securities must be held in street name (in the name of the broker-dealer for the benefit of the customer). In addition, it allows the broker-dealer to use a portion of the customer's margined securities as collateral for a bank loan (*rehypothecation*). The hypothecation agreement also allows the broker-dealer to sell securities from the account in the event that the customer's equity falls below a certain level. When the securities held in a margin account go in the wrong direction, customers lose equity at a much faster rate than those who purchased the securities for cash.
- » **The loan consent form:** The optional loan consent form gives permission to the broker-dealer to loan a customer's margined securities to other investors or broker-dealers, typically for the short sale of securities.



REMEMBER

Besides receiving the paperwork listed previously, investors opening margin accounts also receive a *margin risk disclosure document*. Some of the things included in that document let the client know that they can lose more money than deposited into the margin account, the firm can force the sale of securities or other assets in the account without contacting the client, the client cannot choose which securities in the account are liquidated, the firm can increase the house maintenance requirement in the account at any time, a client is not entitled to additional time to meet a margin call, and so on.

Introducing long and short margin accounts

As the heading here says, at this point, I'm only introducing long and short margin accounts. You will need to know some basics for the SIE exam, but a majority of the calculations related to margin accounts will be covered in some top-off exams like the Series 7.

In margin accounts, investors either borrow some money to buy securities or borrow the securities themselves. As a result, margin accounts come in two varieties: long and short.

As you may remember, *long* means to *buy*. With a *long margin account*, the customer buys securities by coming up with a certain percentage of the purchase price of the securities (typically 50 percent) and borrowing the balance from the broker–dealer. These optimistic investors are hoping for a bull market, because they want to sell the securities sometime later for a profit.

With a *short margin account*, an investor is borrowing securities to immediately sell in the market. The process sounds a bit backward, but the investor is selling things they don't actually own yet. Ideally, for this bearish customer, the price of the security will decrease so the investor can purchase the shares in the market at a lower price and then return them to the lender. The basics of buying low and selling high are there, but you're hoping to sell high before buying low.



REMEMBER

When a customer buys securities, they can purchase the securities in a cash or margin account, but when a customer sells short securities, the transaction *must* be executed in a margin account.

Regulation T: Following the Fed's rules for purchasing margin accounts

The Securities Exchange Act of 1934 gives the Federal Reserve Board (FRB) the authority to regulate the extension of credit to customers in the securities industry. In addition to Regulation T (see the following section), the FRB decides which securities can be purchased on margin. (Chapter 13 can tell you more about the FRB and its role in influencing money supply.)

Regulation T is the Federal Reserve Board rule that covers the credit broker–dealers may extend to customers who are purchasing securities. Currently for margin accounts both long and short, Regulation T (Reg T) requires customers to deposit at least 50 percent of the current market value of the securities purchased on margin, and the balance is borrowed from the broker–dealer.



REMEMBER

Regulation T is currently set at 50 percent; however, firms not willing to take as much risk may increase the *house margin* requirement to 55 percent, 60 percent, 65 percent, and so on. When you're taking the SIE and subsequent exams, you should assume 50 percent unless the question states a different percentage.

Regulation T applies not only to margin accounts, but also to cash accounts. (See Chapter 16.) When customers are purchasing securities in cash accounts, they have a certain number of business days to pay for the trade. This delay is an extension of credit; therefore, it falls under Regulation T.

Reg T also identifies which securities can be purchased on margin and which ones can't.

Making margin call

A *margin call* (also known as a *Fed call*, *federal call*, or *Reg T call*) is the broker–dealer's demand for a customer to deposit money in a margin account when purchasing or shorting (selling short) securities. If a customer is buying securities on margin, the customer may deposit fully paid securities in lieu of cash to meet the margin call.

For both long and short margin accounts, the margin call is the dollar amount of securities purchased (or shorted) multiplied by Regulation T (50 percent). So, for example, if an investor

purchases \$50,000 worth of securities on margin, the margin call would be \$25,000. Here's how you figure that:

$$\begin{aligned}\text{margin call} &= \text{the current market value of the securities} \times \text{Reg T} \\ \text{margin call} &= \$50,000 \times 50 = \$25,000\end{aligned}$$

Opening a margin account: The initial requirements

The initial margin requirements for short and long accounts apply to the *first* transaction in a margin account only. After the account is established, the investor can purchase or short securities just by depositing Regulation T of the current market value of the securities purchased or shorted.

For an initial purchase in a margin account, customers must deposit a minimum of equity in their margin accounts. Currently, Regulation T calls for a minimum deposit of 50 percent of the current market value of the securities purchased or sold short. However, the Financial Industry Regulatory Authority (FINRA) and the New York Stock Exchange (NYSE) call for a minimum deposit of \$2,000 or for the customers to pay for the securities in full. (See the section “Starting long accounts,” later in this chapter, for more on how this works.)



TIP

When you're taking the SIE, pay attention to the wording of the question. Phrases like “opens a margin account,” “in an initial transaction in a margin account,” and so on indicate that the question is asking for the initial margin requirement rather than a margin call. (See the preceding section for info on margin calls.)



REMEMBER

The following sections are based on the initial margin requirements for regular long and short margin accounts. If an investor wants to open a *day trading account*, the initial margin requirement is \$25,000, and the investor must keep at least \$25,000 in equity to continue trading. A day trading (pattern day trader) account is one in which the investor buys and sells the same security on the same day or sells short and buys the same security on the same day at least four times in five consecutive days.

Starting long accounts

To open a long margin account, the customer is required to deposit Regulation T or \$2,000, whichever is greater. The exception to this rule occurs when a customer is purchasing less than \$2,000 worth of securities on margin. In this case, the customer pays for the transaction in full. It certainly wouldn't make sense for a customer to purchase \$1,000 of securities on margin and pay \$2,000 when they could pay \$1,000 if it were purchased in a cash account. Even if the customer pays in full, the account is still considered a margin account because the customer can make future purchases on margin as soon as they have more than \$2,000 in equity.

Table 12-1 shows you how Regulation T and the FINRA/NYSE requirements affect how much customers have to deposit when opening long margin accounts.



REMEMBER

In short, here's how much an investor has to deposit:

Purchase Price	Amount Owed
Initial purchase < \$2,000	Full purchase price
$\$2,000 \leq \text{initial purchase} \leq \$4,000$	\$2,000
Initial purchase > \$4,000	Reg T (50% of market value)

TABLE 12-1 Deposit Requirements for Long Margin Accounts

Dollar Amount of Purchase	Regulation T Requirement	FINRA/NYSE Requirement	Amount Customer Must Deposit
\$6,000	\$3,000	\$2,000	\$3,000
\$3,000	\$1,500	\$2,000	\$2,000
\$1,000	\$500	\$1,000	\$1,000

Opening short accounts

The minimum deposit for short accounts is fairly easy to remember. The \$2,000 minimum required by the FINRA and NYSE applies to short margin accounts. Because of the additional risk investors take when selling short securities, the \$2,000 minimum always applies, even if the customer is selling short only \$300 worth of securities. In this case, the customer must deposit 50 percent of the current market value of the securities or \$2,000, whichever is greater. Here's the breakdown:

Shorting Price	Amount Owed
Initial sale $\leq$ \$4,000	\$2,000
Initial sale $>$ \$4,000	Reg T (50% of market value)

Obeying the Telephone Consumer Protection Act of 1991 (Telephone Act of 1991)

Because this chapter is about opening customer accounts, it makes sense to cover the Telephone Act of 1991. So if you're opening the account, you likely called them first unless you happen to be one of those blokes or blokettes lucky enough to have a customer call you to open an account. To make sure that certain standards are used when calling potential customers (such as not calling them at midnight), the Telephone Act of 1991 was created. When you're dealing with *potential customers* on the phone, you need to know these rules:

- » You can't make calls before 8 a.m. or after 9 p.m. local time of the potential customer.
- » You have to give your name, company name, company address, and phone number.
- » If you get a potential customer who's tired of being called, you should place that person on a *do not call list*. Each firm must maintain its own do not call list and have the U.S. government's National Do Not Call List available.
- » Although fax machines are becoming more obsolete, you may not send unsolicited ads by fax machine.



REMEMBER

The Telephone Act of 1991 *does not* apply to existing customers (customers who have executed a trade or had a security in the firm's account in the previous 18 months) or calls from nonprofit organizations. Existing customers who want to be placed on the "do not call" list after opening an account cannot be solicited but can be updated on the status of their account.

Testing Your Knowledge

Okay, so you're feeling good about what you need to know for the SIE about different types of accounts. Here's a ten-question quiz to test your expertise. Good luck!

Practice questions

1. AylDec Corporation would like to open a margin account at Guess Right Broker-Dealer. To open the account, Guess Right would need
 - I. to fill out a new account form
 - II. a copy of the corporate resolution from AylDec
 - III. a copy of the corporate charter from AylDec
 - IV. a signed copy of the margin agreement

(A) II and IV
(B) I and IV
(C) I, II, and IV
(D) I, II, III, and IV
2. In an initial transaction in a margin account, Alyssa Hudson purchases 100 shares of Hopeful Corporation common stock at \$12 per share. How much must Alyssa deposit to meet the margin requirement?

(A) \$600
(B) \$1,200
(C) \$2,000
(D) Cannot be determined
3. All of the following are true about UGMA accounts EXCEPT
 - (A) parents of a minor can be joint custodians.
 - (B) securities held in the account cannot be sold short or traded on margin.
 - (C) gifts of securities to the minor are irrevocable.
 - (D) they can't be held in street name.
4. Which of the following DOES NOT have to be included on a new account form?
 - (A) The customer's signature
 - (B) The registered representative's signature
 - (C) The customer's marital status and number of dependents
 - (D) The customer's bank references
5. According to the Telephone Act of 1991, which of the following is TRUE?
 - (A) You may not make calls to potential customers before 8 a.m. or after 9 p.m.
 - (B) You may not make calls to potential customers before 8 a.m. or after 9 p.m. local time of the customer.
 - (C) You may not make calls to potential customers before 9 a.m. or after 8 p.m.
 - (D) You may not make calls to potential customers before 9 a.m. or after 8 p.m. local time of the customer.

- 6.** Which of the following documents are required for an investor opening a margin account?
- I. A credit agreement
 - II. A hypothecation agreement
 - III. A loan consent form
- (A) I and II
(B) I and III
(C) II and III
(D) I, II, and III
- 7.** Which of the following are TRUE?
- I. If an investor of a joint tenants with rights of survivorship account dies, their portion of the account is transferred to their estate.
 - II. If an investor of a joint tenants with rights of survivorship account dies, their portion of the account is transferred to the remaining account holder(s).
 - III. If an investor of a joint tenants in common account dies, their portion of the account is transferred to their estate.
 - IV. If an investor of a joint tenants in common account dies, their portion of the account is transferred to the remaining account holder(s).
- (A) II and IV
(B) I and IV
(C) II and III
(D) II and IV
- 8.** A customer opens a short margin account by selling short 200 shares of DIM common stock at \$17 per share. What is the margin call?
- (A) \$1,700
(B) \$2,000
(C) \$3,400
(D) Cannot be determined
- 9.** To make proper recommendations to a client, you should know their
- I. age
 - II. time horizon
 - III. tax bracket
 - IV. liquidity needs
- (A) I and IV
(B) II and III
(C) I, III, and IV
(D) I, II, III, and IV
- 10.** The Patriot Act requires broker-dealers to identify their investors through
- (A) CIPs
(B) DIMs
(C) LLPs
(D) All of the above

11. The tax ID of _____ is required for the opening of an UTMA account.
- (A) both parents
 - (B) at least one parent
 - (C) the minor
 - (D) the custodian
12. John Smith has a joint account with sisters Mirabelle and Elyse. If the account was set up as a joint with tenants in common, which of the following is true?
- (A) Since John and siblings are not married, they could not have set up an account as joint with tenants in common.
 - (B) John and the two sisters must share equally in the assets of the account.
 - (C) If any of the siblings die, that individual's portion of the account is divided equally among the two remaining siblings.
 - (D) Ownership of the decedent's assets in the account are governed by their will (if any) or by the laws in the state in which they live.

Answers and explanations

1. **D.** For any new account, a new account form must be filled out by the broker–dealer. Because this is a margin account, a margin agreement must be signed and the broker–dealer must obtain a copy of the corporate charter (bylaws), which would need to state that the corporation is allowed to purchase or sell short on margin. In addition, because the account is a corporate account, you need to know who in that corporation has the authority to trade the account; that’s where the corporate resolution comes in.
2. **B.** The key to this question is that it is an initial transaction in a margin account. So in this case, the customer purchased \$1,200 (100 shares $\times$ \$12) of securities. Reg T (50 percent) of that amount would be \$600 ($\$1,200 \times 50\%$). That would be the correct answer if it were an existing margin account. Because Alyssa is just opening the margin account, however, Alyssa would either have to deposit the Reg T amount if over \$2,000, \$2,000, or pay in full if the purchase is less than \$2,000, which in this case it is. Therefore, Alyssa would have to deposit \$1,200.
3. **A.** Regarding UGMA (Uniform Gifts to Minors Act), you can only have one minor and one custodian per account. So in this case, even though the minor may have two parents, they can’t be joint custodians.
4. **A.** Although the registered representative’s and principal’s signatures have to be on a new account form, the customer’s does not. This allows the registered rep to make a trade with a customer right away without having to have the customer fill out, and ideally return, the new account form.
5. **B.** The rule is that you can’t call potential customers (cold calling) before 8 a.m. or after 9 p.m. local time of the customer. If a potential client doesn’t want to be called anymore, you must place them on your firm’s do not call list.
6. **D.** The credit agreement, hypothecation agreement, and loan consent form are all part of the margin agreement that must be signed by new clients who want to open a margin account. In the event that it is a corporation that is opening the margin account, you would also need a corporate charter (bylaws), which would spell out whether the corporation was allowed to buy or short securities on margin.
7. **C.** When an investor of an account set up as joint tenants with rights of survivorship dies, their portion of the account goes to the remaining survivor(s). This is the type of account typically set up by a married couple. If the account is set up as joint with tenants in common, if an investor dies, their portion of the account would go to their estate.
8. **B.** Because this investor is opening a short margin account, they must deposit either the Reg T amount or \$2,000, whichever is greater. Because 50 percent of the Reg T amount ($\$3,400 \times 50\% = \$1,700$) is less than \$2,000, this investor must come up with \$2,000 to meet the call.
9. **D.** Besides the information required on a new account form, you should gain any knowledge about your client that you can to help you make better investment recommendations. The customer’s age is important because, in most cases, the older people get, the less risk they should take. So for older investors, you may want to rebalance their portfolio so they have more debt securities than a younger investor would. The time horizon is typically the amount of time until someone retires, but it could be something like the number of years until the investor plans on buying a house and so on. The tax bracket is important because

if the tax bracket is high, you may want to recommend tax-advantaged investments like municipal bonds. Liquidity needs are how easy it is for the investor to sell the securities in a hurry if needed. In this case, you wouldn't recommend investments like limited partnerships.

- 10. A.** As part of the U.S. Patriot Act, all broker-dealers are required to help identify terrorists or potential terrorists through CIPs (Customer Identification Programs).
- 11. C.** An UTMA (Uniform Transfer to Minors Act) account is an account set up for a minor who (by law) is too young to make investment decisions on their own. It is an account set up for one minor and one custodian, who must make investment decisions in the best interest of the minor. All profits and/or losses in the account are the minors and, therefore, the firm is required to have the tax ID of the minor.
- 12. D.** With a joint with rights of survivorship account, if one investor dies, the surviving individual(s) of the account would split the individual's portion of the account. However, with a joint with tenants in common account, if one investor dies, their portion of the account goes to their estate.